

1. DTI Formula

DTI Ratio = (Total Monthly EMI Obligations / Gross Monthly Income) * 100.

2. Benchmark Levels

Below 35%: Healthy debt load.

35% to 50%: Acceptable limit for most banks.

Above 50%: High risk - loan approval difficult or rejected.

3. Reducing DTI

Pay off small credit card balances, consolidate debt into a lower-rate personal loan, or increase tenure to lower monthly EMI.